

THIS REPORT CONTAINS ASSESSMENTS OF COMMODITY AND TRADE ISSUES MADE BY
USDA STAFF AND NOT NECESSARILY STATEMENTS OF OFFICIAL U.S. GOVERNMENT
POLICY

Voluntary Public

Date: 8/21/2017

GAIN Report Number: GAIN0021

China - Peoples Republic of

Post: Beijing ATO

Growing Opportunities in China for U.S. Food-Grade Soybeans

Report Categories:

Promotion Opportunities

Agricultural Trade Office Activities

Oilseeds and Products

Approved By:

Christopher Bielecki

Prepared By:

ATO Beijing Staff

Report Highlights:

China's food processors are increasingly seeking to import food-grade soybeans to meet consumer demand for soy-based foods. The most recent data available from 2015 revealed that China's top 50 soy food manufacturers processed approximately 1 million metric tons of food-grade soybeans into \$2.6 billion worth of soy food products. Post suggests U.S. food-grade soybean exporters attend the China International Soybean Food Processing Technology and Equipment Exhibition, or similar events, in order to meet with interested Chinese food-grade soybean importers.

Introduction

In China, food-grade soybeans¹ refer to non-genetically modified soybeans intended for processing into food ingredients (that do not include cooking oil) for human consumption. Industry observers note that, as a result of price advantages and purchasing convenience, many soy food processors in China's coastal provinces are sourcing imported soybeans to produce tofu, soy milk and other foods. Specific data on the broader utilization of imported soybeans are not available, however post notes increasing evidence that imported food-grade soybeans are needed to meet Chinese consumer demand for soy-based food products. For more information on China's production, supply, and distribution of soybeans, please refer to [USDA's 2017 Annual Oilseeds and Products Report](#).

China's Food Processing Demand for Food-grade Soybeans

Table 1. China's Top 50 Soy Food Processors' Sales and Processing Volume of Soybeans

Year	Sales Value (Billion USD)	Growth Rate	Volume (Million MT)
2010	1.61	0%	0.98
2011	2.06	28%	1.06
2012	2.43	18%	1.06
2013	2.52	4%	1.06
2014	2.45	-3%	0.96
2015	2.62	7%	1.00

Source: China Bean Product Association

While the volume of food-grade soybeans of China's top 50 soy processors did not significantly change, sales increased by 63% between 2010 and 2015 (Table 1). China's soy food industry can be considered a relatively competitive industry, and the large companies have been careful to expand their production. However, there are over 4,700 registered and licensed soy food processing and production companies in China. Although complete data is not available, post notes that many of these smaller enterprises are beginning to source imported food-grade soybeans. Chinese food-grade soybean traders are usually small to medium size operations, and they face difficulties consolidating soybeans from households and villages. As a result, purchasing imported food-grade soybeans is becoming the more economical choice for China's soy food companies.

Major Soy-based Foods in China

Tofu, bean curd snacks, and soy milk are three of the most popular and common soy foods in China. For many Chinese, tofu is consumed daily. Bean curd snacks have become more popular with consumers. From 2010 to 2015, the top 50 soy food processing companies significantly increased production of tofu and bean curd snacks (Table 2). Of these top 50 companies, 23 companies produce tofu, 16 produce bean curd snacks, and seven produce soy milk. The remaining 4 companies produce other soy food products, such as dried bean curd skin (腐竹) and vegetarian meat.

Table 2. Top 50 Soy Food Processors' Production of Tofu, Bean Curd Snacks, and Soy Milk (MT)

¹ Food-grade soybeans can also be exported as identity preserved (IP) shipments. IP is the designation given to bulk commodities marketed in a manner that isolates and preserves unique characteristics of the shipment such as seed genetics, planting, growing, harvesting, storage, and other characteristics.

Year	Tofu	Bean Curd Snacks	Soy Milk	Total
2012	234,000	203,300	318,000	755,300
2013	310,500	248,200	326,100	884,800
2014	317,600	240,200	300,900	858,700
2015	350,700	247,600	311,100	909,400

Source: China Bean Product Association

The Agricultural Trade Office (ATO) in Beijing expects the China market for soy food to continue to grow. As a whole, Chinese consumers are becoming more interested in health foods, and many consider soy-based foods to be the traditional health food of the Chinese people. Due to the food safety concerns surrounding domestic dairy products, and the increasing popularity of consuming plant-based protein, some Chinese consumers are choosing soy-based foods over meat or dairy products. Post expects that demand for U.S. food-grade soybeans, including identity preserved soybeans, to grow in value and volume over the next 3-5 years.

Post's Recent Efforts to Market U.S. Food-grade Soybeans in China

In April 2016, the China International Soybean Food Processing Technology and Equipment Exhibition (SPEE) and Industry Development Conference was held in Shanghai. In China, SPEE is the most important and influential event in China's soy food industry. The exhibition and conference attracted more than 15,700 visitors, and approximately 90% of those visitors were industrial professionals. More than 150 Chinese soy food companies exhibited at the show; most of the companies could be considered potential buyers of U.S. food-grade soybeans.

In 2016, U.S. soybean companies from North Dakota and the U.S. Soybean Export Council attended SPEE. Staff from ATO Beijing also attended the event. This was the first year that North Dakotan soybean companies attended this soy food event. Post believes that continued participation in future SPEE, and other associated events, could provide a centralized venue for U.S. food-grade soybean exporters to meet with Chinese buyers. The North Dakotan soybean companies' presentation at the conference attracted large audiences. In the past, post estimates that roughly 100 people attended individual workshops, however approximately 300 people attended the North Dakota Identity Preserved workshop. North Dakotan companies reported more than 200 people visiting their booth, and the majority appeared to be serious buyers.

Conclusions

The United States is well positioned to meet China's increasing demand for food-grade soybeans. As incomes rise across China, consumers are purchasing more animal protein, however many Chinese are also interested in soy-based traditional "health foods." U.S. food-grade soybean exporters should consider participating in SPEE, or similar events in China, that provide a venue for Chinese food-grade soy buyers to meet with U.S. exporters.